

IN THE COMMON PLEAS COURT OF MIAMI COUNTY, OHIO
CIVIL DIVISION

THE OTHER WOMAN AND THE WIFE, LLC,	:	CASE NO. 24-498
	:	(Judge Jeannine N. Pratt)
Plaintiff and Counterclaim Defendant,	:	
vs.	:	REPLY IN SUPPORT OF
	:	DEFENDANT KRISTEN JACOBS'
KRISTEN JACOBS,	:	MOTION TO COMPEL
	:	ARBITRATION OR STAY
Defendant and	:	<u>PENDING ARBITRATION</u>
Counterclaim/Third-Party Plaintiff,	:	

Plaintiff The Other Woman and the Wife, LLC ("TOW") does not dispute that its claims of tortious interference with contractual and business relationships are subject to arbitration pursuant to the terms of both the February 7, 2023 Terms of Service ("2023 Contract") and August 12, 2024 TOW Terms of Service ("2024 Contract"). See December 20, 2024 Plaintiff's Memorandum in Opposition to Defendant's Motion to Compel Arbitration or Stay Pending Arbitration ("Opposition" or "Opp.")¹. Nor could TOW dispute that these claims belong in arbitration based on the as the plain language of both contracts. 2023 Contract, Section 15 (December 20, 2024 Affidavit of Chelsea Smallwood ("Aff."), Ex. 2) ("This Section (the 'Arbitration Agreement') applies to and governs any dispute, controversy, or claim between you and us that arise out of or relates to, directly or indirectly: (a) these Terms, including the

¹ TOW failed to serve Ms. Jacobs with a copy of the Opposition as required by Local Rule 3.01 and Civ.R. 5.

formation, existence, breach, termination, enforcement, interpretation, validity, or enforceability thereof; ... (d) any other aspect of your relationship or transaction with us, directly or indirectly, as a user or consumer.... The Arbitration Agreement shall apply, without limitation, to all Claims that arose or were asserted before or after your consent to these Terms."); 2024 Contract, Section 15 (December 6, 2024 Defendant Kristen Jacob's Motion to Compel Arbitration or Stay Pending Arbitration ("Mot."), Ex. 1) ("[Y]ou and Community Owner agree that every dispute arising in connection with these Terms, the Community, or communications from us will be resolved through binding arbitration. . . . This agreement to arbitrate disputes includes all claims whether based in contract, tort, statute, fraud, misrepresentation, or any other legal theory, and regardless of whether a claim arises during or after the termination of these Terms. Any dispute relating to the interpretation, applicability or enforceability of this binding arbitration agreement will be resolved by the arbitrator.").

Therefore, there is no dispute that this action belongs in arbitration as demonstrated in Ms. Jacobs' Motion.

Instead of bringing this action in arbitration as it agreed to in the 2023 Contract and 2024 Contract, TOW tries to distance itself from the plain language of its agreements by arguing that TOW is not a signatory to the 2023 Contract, the contract applicable at the time that Ms. Jacobs was a member of TOW and the only terms of service or contract identified prior to August 2024. See Opp., pp. 3-5. As demonstrated below, TOW's argument that it is not a signatory to the only contract identified prior to 2024 is not only nonsensical, but contrary to the

claims alleged in TOW's October 24, 2024 Complaint for Tortious Interference with Contract and Business Relations ("Complaint" or "Compl.") and Affidavit of Chelsea Smallwood.²

I. TOW'S CLAIMS BELONG IN ARBITRATION

As TOW argues in the Opposition, its claims arise from tortious interference with contractual and business relationships. Opp., p. 1. Specifically, in the Complaint, TOW alleges that "[a] contract exists by and between [TOW] and each of its online community members," including Ms. Jacobs, and that Ms. Jacobs interfered with TOW's contracts and membership agreements with its subscribers. Compl., ¶¶ 5, 12, 13, 19. Noticeably missing from the complaint is any reference (or attachment) of the purported contract entered between each subscriber and TOW. See Compl. In her affidavit, Chelsea Smallwood, TOW's owner, avers that "upon joining the TOW community, subscribers are required to agree to the Terms of Service and Privacy Policy." Aff., ¶ 7. The only "terms of service" identified by TOW and Ms. Smallwood as predating the "revised" 2024 Contract is the 2023 Contract. Opp., pp. 3-5; See Aff. No other terms of services – or membership/subscriber contracts – are identified by either TOW or Ms. Smallwood.

Despite claiming it is not a signatory to the 2023 Contract and its failure to identify any other contract that it entered into with its subscribers (See Opp.), TOW alleges that Ms. Jacobs joined the "online subscription only community" "with full knowledge that the community was a subscription-based platform" and that she "intentionally sought to procure breach of Plaintiff's online membership contracts" or "procure breaches of existing membership

² In her Affidavit, Ms. Smallwood incorrectly avers that Ms. Jacobs was "removed" from TOW's platform on or about December 2023. Aff., ¶ 10. As Ms. Smallwood knows, Ms. Jacobs canceled her subscription with TOW on November 15, 2023. A copy of Ms. Smallwood's email confirming the cancelation is attached as Exhibit 1 to this Reply.

agreements." Compl., ¶ 5, 6, 14, 20. If TOW is not a party to the 2023 Contract, then what contract forms the basis of its Complaint?

A. Ohio Law Does not Require a Party to be a Signatory to an Agreement to be Bound by an Arbitration Provision

Both the 2023 Contract and the 2024 Contract require this matter to be arbitrated – regardless of whether TOW is a "signatory" to the 2023 Contract. Non-signatories to a contract can be bound by arbitration provisions when the party opposing arbitration is a third-party beneficiary. Entire Energy & Renewables, LLC v. Duncan, 2013-Ohio-4209, ¶ 20 (10th Dist.). "A third-party beneficiary is one for whose benefit a promise is made, but who is not a party to the contract encompassing the promise. . . . An intended beneficiary has enforceable rights under the contract To have an intended beneficiary, the contract must be entered into with the intent to benefit that person." Id. (internal citations and quotations omitted). "Thus, where the performance of a promise under the contract satisfies a duty owed by the promisee to the third-party beneficiary, he or she is an intended beneficiary, but where the performance of a promise merely confers some benefit and is not in satisfaction of a duty, the third-party beneficiary is an incidental beneficiary." Id. (quoting Transcontinental Ins. Co. v. Exxcel Project Mgt., Inc., 2005-Ohio-5081, ¶ 20 (10th Dist.)). In addition, non-parties to a contract can also be bound by arbitration agreements pursuant to the doctrine of equitable estoppel. Peters v. Columbus Steel Casings Co., 2006-Ohio-382, ¶ 13 (10th Dist.). For example, in Gerig v. Kahn, the Ohio Supreme Court found that non-signatories to an agreement were bound by the arbitration provision because one of their claims was for declaratory judgment on the applicability of the same contract containing the arbitration agreement. 2002-Ohio-2581, ¶ 19 ("[W]e hold that a signatory to a contract may enforce an arbitration provision against a nonsignatory seeking a declaration of the signatories' rights and obligations under the contract.").

See also id. at ¶ 21 (quoting R.C. 2711.01) ("A provision in any written contract *** to settle by arbitration a controversy that subsequently arises out of the contract *** shall be valid, irrevocable, and enforceable ***").

Here, as demonstrated above, TOW's claims are subject to arbitration because it is an intended third-party beneficiary and pursuant to the doctrine of equitable estoppel. Even though TOW is purportedly not a signatory to the 2023 Contract, no other subscription contract or terms of service prior to August 2024 are identified in this litigation. See Compl., ¶ 5, 6, 14, 20. Nor does TOW argue in the Opposition that such a document exists. See Opp. As such, TOW is either relying on the 2023 Contract to form the basis of its allegations in the Complaint or there is no contract for which Ms. Jacobs could have knowingly interfered – TOW cannot have it both ways. Because TOW intends to benefit from the 2023 Contract and is using it as the basis of its claims against Ms. Jacobs, TOW cannot claim that the arbitration provision is inapplicable merely because TOW is not a signatory to the 2023 Contract. Ohio law does not permit TOW to cherry-pick which provisions in an agreement it wants to enforce. Gerig, 2002-Ohio-2581, ¶ 21.

Further underscoring TOW's gamesmanship is its reliance on the December 2021 Privacy Policy to allege that Ms. Jacobs is liable for violating the same agreement because she engaged in "doxing." Aff., ¶ 9. TOW is also not a signatory to the Privacy Policy. Therefore, even if the Court agrees that TOW is not a signatory to the 2023 Contract, it should still find that this dispute must be arbitrated because TOW is a third-party beneficiary and pursuant to the doctrine of equitable estoppel.

II. CONCLUSION

For these reasons, the Court should grant the Motion and compel this dispute to arbitration.

Respectfully submitted,

/s/ Morgan K. Napier

Morgan K. Napier (0099190)

D. Jeffrey Ireland (0010443)

FARUKI PLL

110 North Main Street, Suite 1600

Dayton, OH 45402

Telephone: (937) 227-3719

Fax: (937) 227-3717

Email: mnapier@ficlaw.com

djireland@ficlaw.com

Attorneys for Defendant Kristen Jacobs

CERTIFICATE OF SERVICE

I certify that on the 27th day of December, 2024, the foregoing Reply in Support of Defendant Kristen Jacobs' Motion to Compel Arbitration or Stay Pending Arbitration was served via electronic mail pursuant to Civ.R. 5(B)(2)(f) upon the following counsel of record:

Michael W. Sandner, Esq.
Deztany J. Johnson, Esq.
PICKREL, SCHAEFFER & EBELING CO.
2700 Stratacache Tower
Dayton, OH 45423
msandner@pselaw.com
djohnson@pselaw.com

Counsel for Plaintiff
The Other Woman and the Wife, LLC

Alexander W. Cloonan, Esq.
MCNAMEE LAW GROUP, LLC
2625 Commons Blvd.
Beavercreek, OH 45431
alex@mcnameelaw.com

Counsel for Third-Party Defendant
Olivia Nicodemus

and via regular mail pursuant to Civ.R. 5(B)(2)(c) upon the following parties:

Chelsea Smallwood
228 Montego Ky
Novato, CA 94949

Third-Party Defendant

/s/ Morgan K. Napier
Morgan K. Napier

EXHIBIT 1

12:39



Chelsea's Community Contact

We are sad to see you go!



community@theotherwomanandthewife.com

11/15/23

To: Me ▾

Hey!

I just noticed that you canceled your subscription to the OW community. (no hard feelings!)

I hope you enjoyed your time with us and I hope we contributed to your healing.

That being said, we are sad to see you go and we would love to know your thoughts on how we can improve the community.

Don't worry, it's **anonymous** and it will only take 1min of your day.

This would help us make the community a better and safer place for other women like you.

Here is the link to the form: <https://tally.so/r/w2aExA>

Thanks so much for your help and we wish you all the best!

You are always welcome back when you need to.

Kind regards

Chelsea & team



Delete



Reply



Forward



Move



More